

SLC to Acquire 18.8% Stake in SLC Landco for R\$525mn

Ticker: SLCE3 BZ | **Target Price:** 22.00 (BRL) | **Rating:** NEUTRAL

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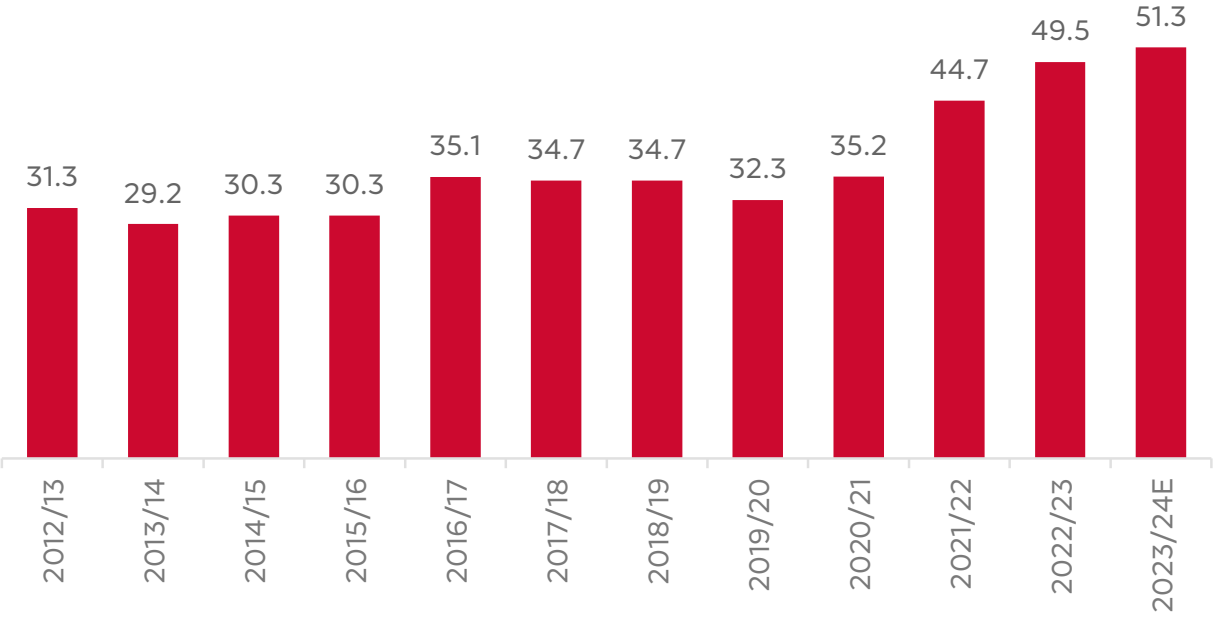
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SLC announced today that it has signed an agreement to acquire the remaining 18.8% stake in SLC Landco for R\$525mn, obtaining full control of the subsidiary. Payment should be made in 2 installments: 1) 1/3 to be paid by Oct. 2024; and 2) 2/3 to be paid by March 2025.

What is SLC Landco? Founded in 2012, SLC Landco is a subsidiary aimed at monetizing part of SLC's real estate gains as well as raising capital to acquire more land. SLC initially contributed 3 farms in Bahia and Maranhão states totaling 61.1k ha, while Landco increased its portfolio by an additional 27.7k ha in the period. Landco's portfolio currently totals 86.8k ha.

Our take: Based on SLC Landco's intended 1st crop planted area of 51.5k ha in the 2023/24 crop, the deal would translate into a transaction multiple of R\$54k/arable hectare (including its infrastructure). This implies a 6% discount to the company's latest land NAV of R\$57.6k/arable hectare, and not too far from the latest NAV for Landco. Although SLC has been mostly expanding its farming business through asset-light land leases, the company has also tried to maintain a balance between owned and leased lands, so this acquisition should help it do so following 3 leasing agreements this year, and potentially allow for additional growth down the road. Still, at first glance, the acquisition does not seem as accretive as last year's acquisition of Paysandu farm appeared to be. The potential to further increase the planted area in Landco's total 86.8k hectares would be the main point to change this perception. We maintain our Neutral rating on SLC (see [here](#)), for which we see a strong long-term potential, but continue to believe that lackluster soybean and cotton prices could limit the room for positive earnings revisions in the foreseeable future.

Figure 1 - SLC Landco - First Crop Planted Area ('000 ha)



Source: Company Information and Bradesco BBI

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